

3Cs Drive CONNECTOR GROWTH



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Rapid technological development has increased the demand for compact and reliable electronic devices. Compact-size products with improved connectivity, coupled with high speed will likely emerge winners. Connectors are an integral part of such devices. Key drivers of the connector industry are growing 3C applications (computing, communication and consumer electronics), miniaturisation of electronic devices and increasing electronics content in devices.

The growing market in Asia-Pacific

According to Bishop & Associates Inc., a market research firm specialising in the global electronic connector market, connector sales grew 8.2 per cent in 2014 to US\$ 55,402 million.

Lucintel, a management consulting firm, further predicts that the connector market will reach a value of US\$ 65.7 billion by 2019. However, connector sales figures in 2015 do not live up to its expectation.

A Bishop & Associates report shows an overall year-on-year (YOY) decline in sales by 5.6 per cent (Table I) across the world. Only the Asia-Pacific region is expected to round up the year with YOY growth of around 1.3 per cent. This indicates the emergence of a new

CONNECTOR INDUSTRY SALES PERFORMANCE BY REGION

Region	2013 (US\$ million)	2014 (US\$ million)	YOY change	2015F (US\$ million)	YOY change
North America	10,763	11,598	7.8%	11,410	-1.6%
Europe	11,108	11,803	6.3%	10,297	-12.8%
Japan	5375	5604	4.3%	4849	-13.5%
China	13,062	14,950	14.5%	14,734	-1.4%
Asia-Pacific	8022	8584	7.0%	8694	1.3%
ROW	2853	2863	0.4%	2306	-19.5%
Total world	51,183	55,402	8.2%	52,291	-5.6%

market for connectors in the Asia-Pacific region, backed by strong demand from growing economies including India.

Less numbers, more functionality

As technological innovations float up each passing day, the number of connectors used per device is on a decline, while functionality continues to rise. With the development of downstream industries like computer and peripheral, automobile, industrial, communication, aerospace/military and medical treatment, connector characteristics have matured in the direction of miniaturisation, high density, high-speed transmission and high frequency.

The Lucintel report also predicts that, of all sectors, connectors for consumer electronics and industrial sectors will show the strongest growth. Increasing Internet traffic, development of high-density and micro-miniature technologies are all major driving factors for these segments. As weight and cost savings have become essential for high-reliability products, connector manufacturers have started to focus on developing smaller, lighter and higher-power connectors.

Increased demand for miniaturisation, intelligentisation, high speed, wireless and environmental protection of 3C products implies that the connectors used in those products need to adopt advanced technologies such as miniaturisation, wireless transmission, high-frequency high-speed transmission, environ-

